



Reinforce
Rebuild
Reach Higher



Can Fin Homes Ltd
(Sponsor: CANARA BANK)
HOME LOANS ♦ DEPOSITS
Translating Dreams into Reality
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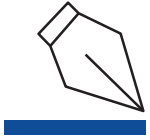
Investor Presentation

Q2FY24

35 years of vision, passion and progress
Offering home loans since 1987..... and it is just a beginning

October 2023

About Us



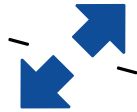
Legacy

- 35 year old institution registered as a deposit taking HFC with NHB
- Promoted by Canara Bank in the year 1987 (shareholding of 30% approx.)
- Can Fin Homes is a part of the Canara Group Financial Conglomerate led by Canara Bank
- Listed in 1991. Carries a legacy of an uninterrupted dividend payment since inception



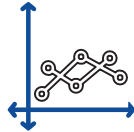
Focus

- To promote home ownership across India, with a motto of friendship finance and good service
- To focus on Housing loans to Individuals
- To have strong fundamentals with ethical & transparent practices and prudent underwriting



Reach

- Headquartered in Bengaluru
- Pan-India presence with 175 branches, 21 Affordable Housing Loan Centers & 12 Satellite Offices as on 30/09/2023; spread across 21 States / Union Territories.
- Added 147 branches/ Satellite Offices in the last ten years.



Financials (Q2FY24)

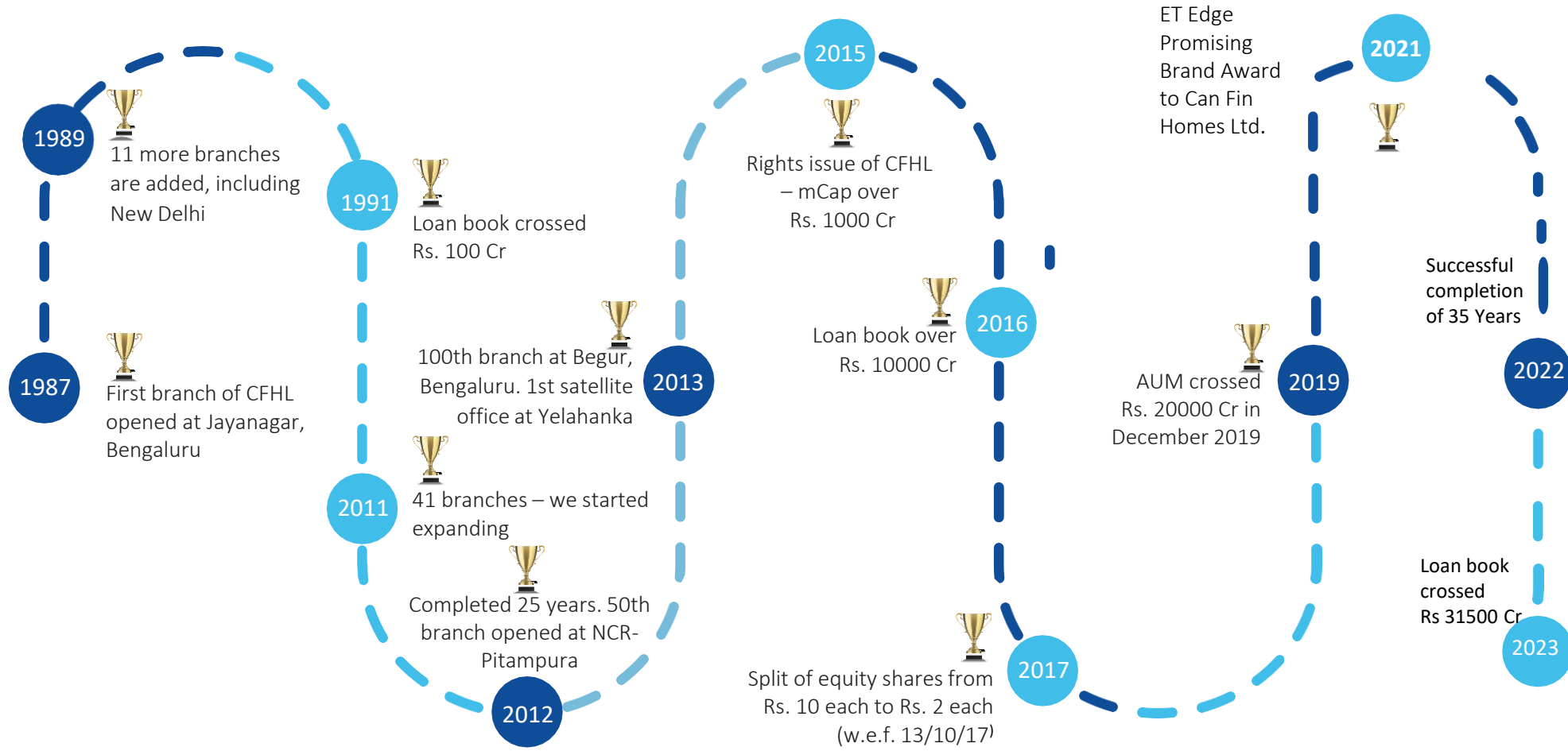
- Net Int Income: Rs.316.77 Cr
- Operating Profit: Rs.270.18Cr
- PBT : Rs 197.99Cr
- PAT: Rs.158.07 Cr
- ROE : 15.96%



Vision

- To increase lending to new home aspirants, enhance value for our stakeholders, uphold our ethics and good corporate governance

JOURNEY OF CAN FIN HOMES



Reinforce

The Company's reliance on the crucial parameters of growth, asset quality, profitability, liquidity, backed by good governance and due diligence will continue.

The commitment to basic, underlying principles of ethics, integrity, sincerity, customer-centricity, fairness, team work and the spirit of excellence is what drives Can Fin forward.

Strengthening the pillar of Risk, Compliance and Audit





Rebuild

The reliance on digital platforms has increased phenomenally over the past few years. With rapidly evolving business requirements and the need to remain relevant amidst change, we are striving hard to improve our digital presence and shore up our infrastructure for accommodating agile and innovative processes.

Strengthen direct sourcing

Reach Higher

In order to facilitate its upward trajectory, the Company intends to expand its sourcing channels to optimally reach its target segment of borrowers.

It is proposed to introduce new products such as Green Housing which will align with Can Fin's commitment to conduct its business in an environmentally friendly manner.





Our Strengths

- Consistent support from the sponsor, Canara Bank.
- Expertise gained over 35 years in housing finance.
- Eminent personalities with rich experience on the board.
- Quick, hassle free and customer friendly lending process.
- Transparent and timely updation to stakeholders.
- Risk based evaluation of borrowers on merit.
- Single Window branch led lending process.
- Consistent and stable liquidity position.
- Steady, increased dividend - year after year.

Board of Directors



Shri K Satyanarayana Raju
Chairman (Promoter)



Shri Suresh S Iyer
Managing Director & CEO



Shri Debashish Mukherjee
Director (Promoter)



**Smt Shubhalakshmi Aamod
Panse**
Director (Independent)



Shri Ajai Kumar
Director (Independent)



Shri Arvind Narayan Yennemadi
Director (Independent)



Shri Anup Sankar Bhattacharya
Director (Independent)



Shri Murali Ramaswami
Director (Independent)



Shri Ajay Kumar Singh
Deputy Managing Director

Experienced Management Team



Shri Sudhakar B M

General Manager

Total Exp: 36 Years

Service in Can Fin - 33 Years



Shri Nilesh Jain

Company Secretary

Total Exp: 20 Years

Service in Can Fin – 01 month



Shri Apurav Agarwal

Chief Financial Officer

Total Exp: 14+ Years

Service in Can Fin - 9 Months



Shri Prakash Shanbhogue

Head - Collections

Total Exp: 30 Years

Service in Can Fin – 30 Years



Shri Prashanth Joishy

Head – Products & Strategy

Total Exp: 34 Years

Service in Can Fin – 34 years



Shri Madhu Kumar R

Head – Credit

Total Exp: 33 Years

Service in Can Fin – 28 years



Shri Arun Kumar V

Head – Centralized Credit Processing Centre

Total Exp: 37 Years

Service in Can Fin – 33 years



Shri Uthaya Kumar A

Chief Risk Officer

Total Exp: 30 Years

Service in Can Fin – 30 years



Shri D R Prabhu

Chief Compliance Officer

Total Exp: 34 Years

Service in Can Fin – 34 years



Shri Sikhin Tanu Shaw

Chief Information Officer

Total Exp: 20 Years

Service in Can Fin – 5 years



Shri Ratheesh Kumar P

Head – RBIA

Total Exp: 26 Years

Service in Can Fin – 26 years



Shri Murugan R

Head – Learning & Development

Total Exp: 31 Years

Service in Can Fin – 28 years

Systems and Controls

Lead Generation		Through Website, Customer Referral, Direct marketing and DSA channel.
Due Diligence		CKYC-UIDAI linked verification; Bank account verification through PERFIOS; Field verification of residence, employment, property in each proposal; PAN verification; Online ITR verification through web site; CERSAI verification.
Legal verification		Through empanelled Advocate, Cross verification through State Govt. Land portal.
Valuation		Through professional Valuers, validation of rates through market linked web sites.
Sanction		Single Window – At branch level for loans upto delegated power of Branch Head. Over and above branch powers at Central CPC
Disbursement		Centralized Disbursement post verification of documents

Systems and Controls

Documentation		Pre-filled System Generated documents - ready for Execution.
Storage of Loan Dockets		Centralised Document Storage at 3 different location Pan India.
Collection		Through E -NACH, Salary deduction. Option for online Payment.
Monitoring		Data mining for EWS Monthly OTMS reports Cluster Risk Monitoring
Reconciliation		At branches and at Head office for all branches
CRM		Review of all loan sanctions at Head Office

Digital Transformation

In order to ensure uninterrupted services to our customers, even during challenging times like today, we leveraged various advanced digital tools and technologies. These enabled us to reach more customers, across the length and breadth of the country, improve our efficiency and tide through challenges despite difficulties.

Our digital focus areas:



Providing personalized and seamless services to our customers across the country



Creating a digital financial services bouquet in collaboration with some of the nation's leading technological support providers



Automation and digitization of processes to make things simpler, faster and user-friendly



Building robust and secure digital capabilities across platforms to prevent frauds and ensure customer data protection

RFP floated for onboarding System Integrator (SI) for IT Transformation project. Expect to finalise vendor in Q3FY24

PERFORMANCE HIGHLIGHTS – Q2FY24

1. Loan Book reached Rs. 33359 Cr (+16% YoY) with a clientele base of 2.53 lakh.
2. NII: Rs. 316.77 Cr, PBT: Rs.197.99 Cr and PAT: Rs.158.07 Cr.
3. NIM: 3.80%, RoAA: 1.86%
4. RoE: 15.96%, EPS: Rs . 11.87
5. Cost to Income Ratio: 16.25%
6. DER: 7.73
7. Gross NPA 0.76% & Net NPA 0.43%.
8. The Salaried and Professional segment constitutes 72% of the outstanding loan book as on Sep 23. Housing forms 89% of the Loan Book including CRE and NHL 11%.
9. Average ticket size of incremental housing and non-housing loans is Rs.22 Lakh and Rs.8 Lakh respectively.
10. Opened 3 new branches in Q2FY24

Performance Highlights- Q2FY24

Amount Rs. in Crore

Sl. No.	Particulars	Year on Year and Sequential		
		Sep'23 (3m)	Sep'22 (3m)	Jun'23 (3m)
1	New Approvals	2123	2348	2071
2	Disbursements	2019	2245	1966
3	Outstanding Loan Book	33359	28823	32505
4	Net Interest Income	316.77	251.17	285.09
5	Operating Profit	270.18	216.08	247.60
6	Provision for Std Asset	(1.21)	33.55	9.04
7	Provision for NPA	16.43	(20.32)	4.66
8	Bad Debts + Management Overlay	56.95	-	-
9	Profit Before Tax	197.99	202.85	233.90
10	Profit After Tax	158.07	141.71	183.46
11	Gross NPA	254.45	178.69	205.18
12	Gross NPA Ratio (%)	0.76%	0.62%	0.63%
13	Net NPA	142.44	101.16	109.61
14	Net NPA Ratio(%)	0.43%	0.35%	0.34%

Key Financial Ratios- Q2FY24

Amount Rs. in Crore

Sl. No.	Particulars	PERIOD ENDED		
		Sep'23 (3m)	Sep'22 (3m)	Jun'23 (3m)
1	Return on Avg Assets (Annualised)	1.86%	2.07%	2.19%
2	Return on Avg Equity (Annualised)	15.96%	16.82%	19.16%
3	Earning Per Share (Rs.)	11.87	10.64	13.78
4	Net Interest Margin (%)	3.80%	3.55%	3.48%
5	Yield on Loan Portfolio (%)	10.07%	8.55%	9.84%
6	Cost (%)	7.32%	6.04%	7.32%
7	Spread (%)	2.75%	2.51%	2.52%
8	Avg. Business Per Branch (Rs. Crore)	162.08	143.75	160.40
9	Avg. Business per Employee (Rs. Crore)	34.18	31.50	33.87
10	Cost Income Ratio (%)	16.25	15.78%	14.94%
11	DER	7.73	7.93	7.81

Performance Highlights- H1FY24

Amount Rs. in Crore

Sl. No.	Particulars	Year on Year (As per IND AS)		
		Sep'23 (6m)	Sep'22 (6m)	Growth%
1	New Approvals	4195	4103	2%
2	Disbursements	3986	3967	-
3	Outstanding Loan Book	33359	28823	16%
4	Net Interest Income	601.86	501.57	20%
5	Operating Profit	517.78	431.08	20%
6	Provision for Std Asset	7.83	21.89	15%
7	Provision for NPA	21.10	(12.35)	271%
8	Profit Before Tax	431.89	421.54	2%
9	Profit After Tax	341.53	303.93	12%
10	Gross NPA	254.45	178.69	
11	Gross NPA Ratio (%)	0.76%	0.62%	
12	Net NPA	142.44	101.16	
13	Net NPA Ratio(%)	0.43%	0.35%	

*Excluding Management overlay of Rs.17 crore

Key Financial Ratios- H1FY24

Amount Rs. in Crore

Sl. No.	Particulars	PERIOD ENDED	
		Sep'23 (6m)	Sep'22 (6m)
1	Return on Avg Assets (Annualised)	2.01%	2.22%
2	Return on Avg Equity (Annualised)	17.24%	18.04%
3	Earning Per Share (Rs.)	25.65	22.82
4	Net Interest Margin (%)	3.62%	3.54%
5	Yield on Loan Portfolio (%)	9.93%	8.55%
6	Cost (%)	7.32%	6.04%
7	Spread (%)	2.60%	2.51%
8	Avg. Business Per Branch (Rs. Crore)	162.08	143.75
9	Avg. Business per Employee (Rs. Crore)	34.18	31.50
10	Cost Income Ratio (%)	15.63%	15.81%
11	DER	7.73	7.93

Key Ratios -Impact of Ambala fraud

*Rs in Cr

Sl No.	Particulars	PERIOD ENDED		
		Sep'23 (3m) (with Ambala)	Sep'23 (3m) (Without Ambala)	Jun'23(3m)
1	Profit Before Tax	197.98	237.65	239.90
2	Profit After Tax	158.07	187.76	183.46
3	Return on Assets	1.86%	2.21%	2.19%
4	Return on Equity	15.96%	18.82%	19.16%
5	EPS	11.87	14.10	13.78

Breakup of Provision

*Rs in Cr

Sl No.	Particulars	PERIOD ENDED	
		Sep'23 (3m)	Jun'23 (3m)
1	Provision for Std Assets	(1.21)	9.05
2	Provision for NPA	16.43	4.66
3	Provision for Ambala	39.67	-
4	Management Overlay	17.28	-
	Total	72.18	13.71

Channel Sourcing Mix – Q2FY24

	FY23	Q1FY24	Q2FY24
Active DSA's	1463	1464	1316
Total DSA Sourced			
Amount(Crores)	7302.23	1667.13	1651.01
% share of total business	82%	85%	82%
Share of Top 20 DSA's			
Amount(Crores)	1010.61	247.35	233.04
% share of total business	11%	12%	11%
Geographical Spread of DSA business			
Core geographies (South)(%)	75%	75%	76%
Rest of India(%)	25%	25%	24%

Diversified Sourcing no concentration

Lending Basket

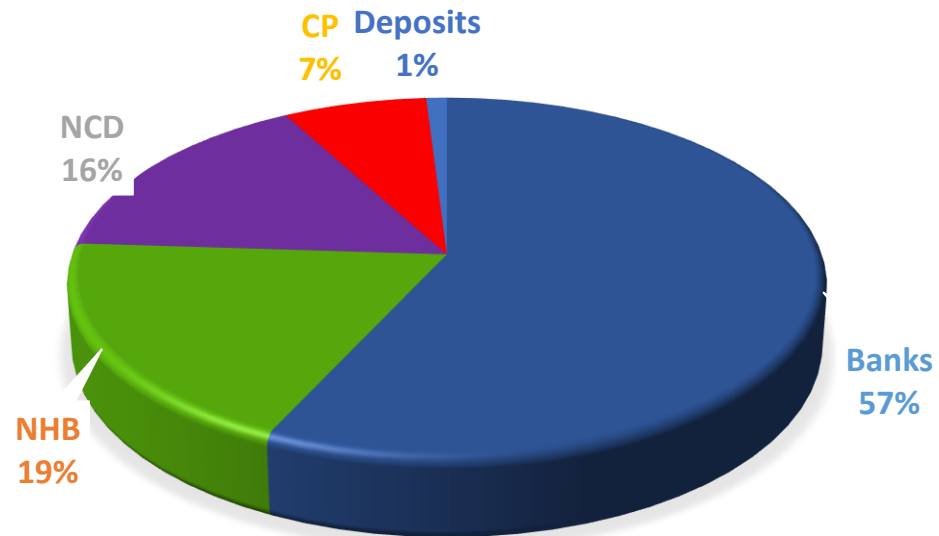
CATEGORY-WISE PRODUCT-WISE DISTRIBUTION OF LOAN BOOK

Amount Rs. in Crore

Sl. No.	Particulars	Sep - 22 O/s Amt.	Dec - 22 O/s Amt.	Mar - 23 O/s Amt.	Jun - 23 O/s Amt.	Sep - 23 O/s Amt.
1	Salaried & Professionals					
	i) Housing Loans	19562	20256	21071	21602	22067
	ii) Top-up Personal Loans	852	915	960	990	1020
	iii) Mortgage Loans/ Flexilap	729	774	811	829	843
	iv) Loans for Sites	171	177	184	182	184
	v) Others	34	37	40	41	41
	Sub Total	21348	22159	23066	23644	24155
	(As a % to total)	74%	74%	73%	73%	72%
2	Non Salaried Class- Self Employed & Non Professionals					
	i) Housing Loans	6228	6613	7050	7357	7656
	ii) Top-up Personal Loans	336	367	397	415	437
	iii) Mortgage Loans/Flexi Lap	763	825	893	929	950
	iv) Loans for Sites	71	76	81	84	87
	v) Others	56	54	56	55	52
	Sub Total	7454	7935	8477	8840	9182
	(As a % to total)	26%	26%	27%	27%	28%
3	Builder Loans					
	(As a % to total)					
4	Staff Loans	21	21	20	21	22
	Grand Total	28823	30115	31563	32505	33359

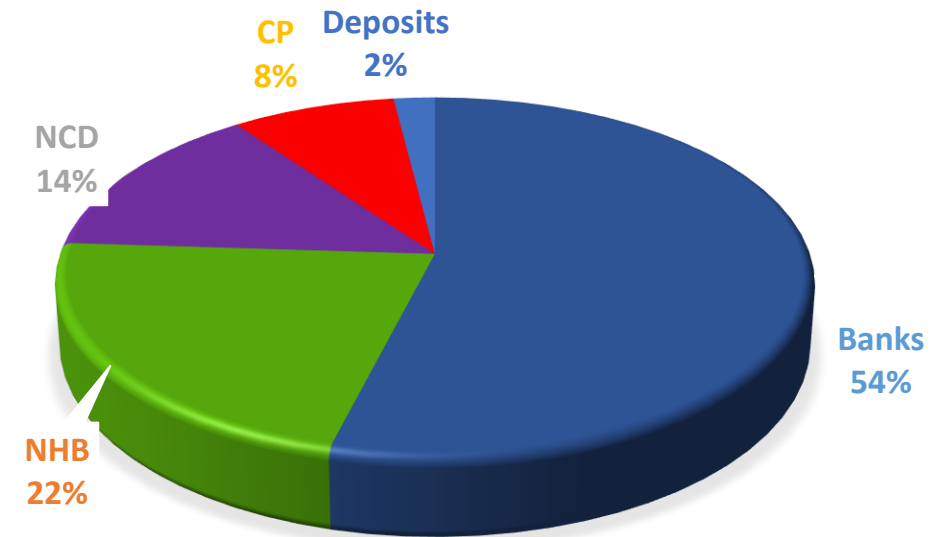
Funding Basket

Funding Mix @ Sep 2023 (as %)



Total Borrowings – Rs. 30628 Crs

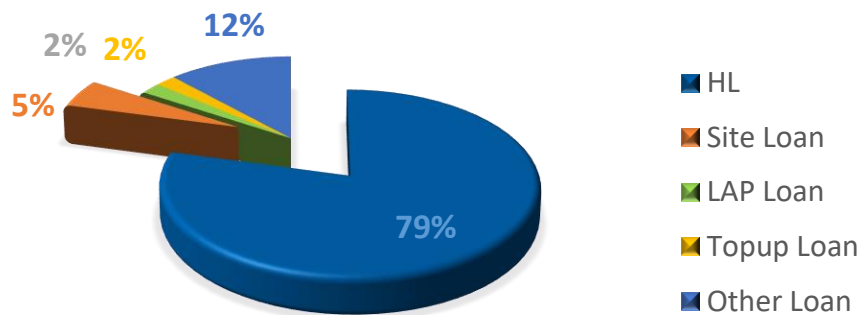
Funding Mix @ Sep 2022 (as %)



Total Borrowings – Rs. 26740 Crs

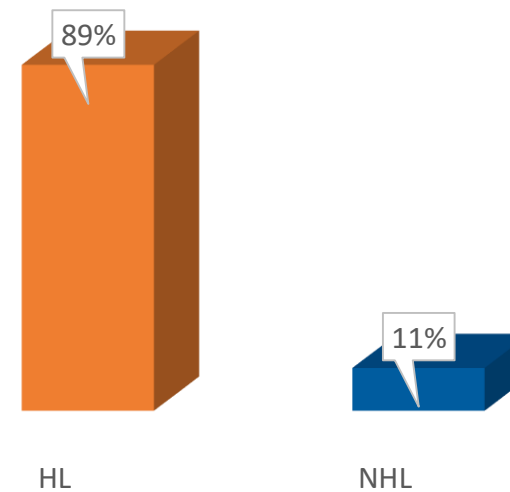
PORTFOLIO DETAILS

Product Wise Portfolio Break up @ Sep 2023 (as %)



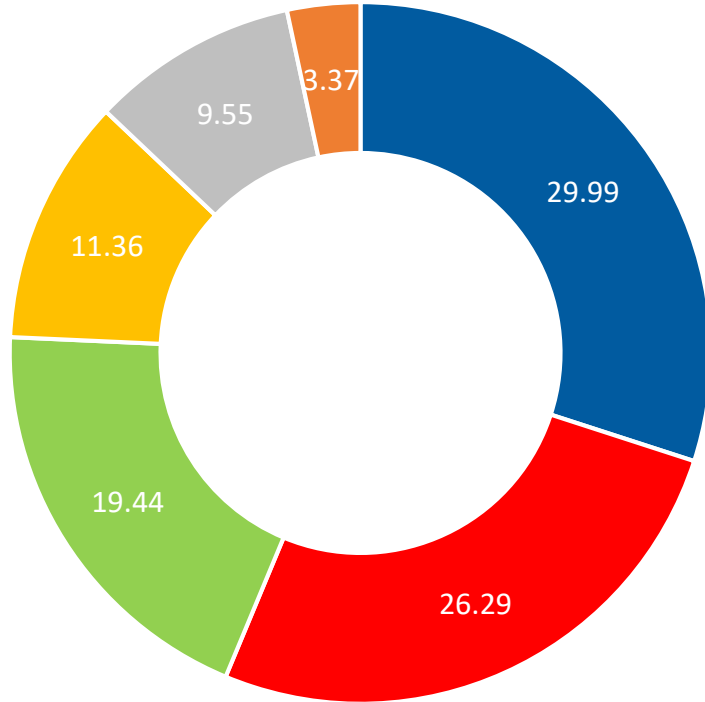
OS - Q2FY24

HL NHL Bifurcation



*HL OS is inclusive of CRE

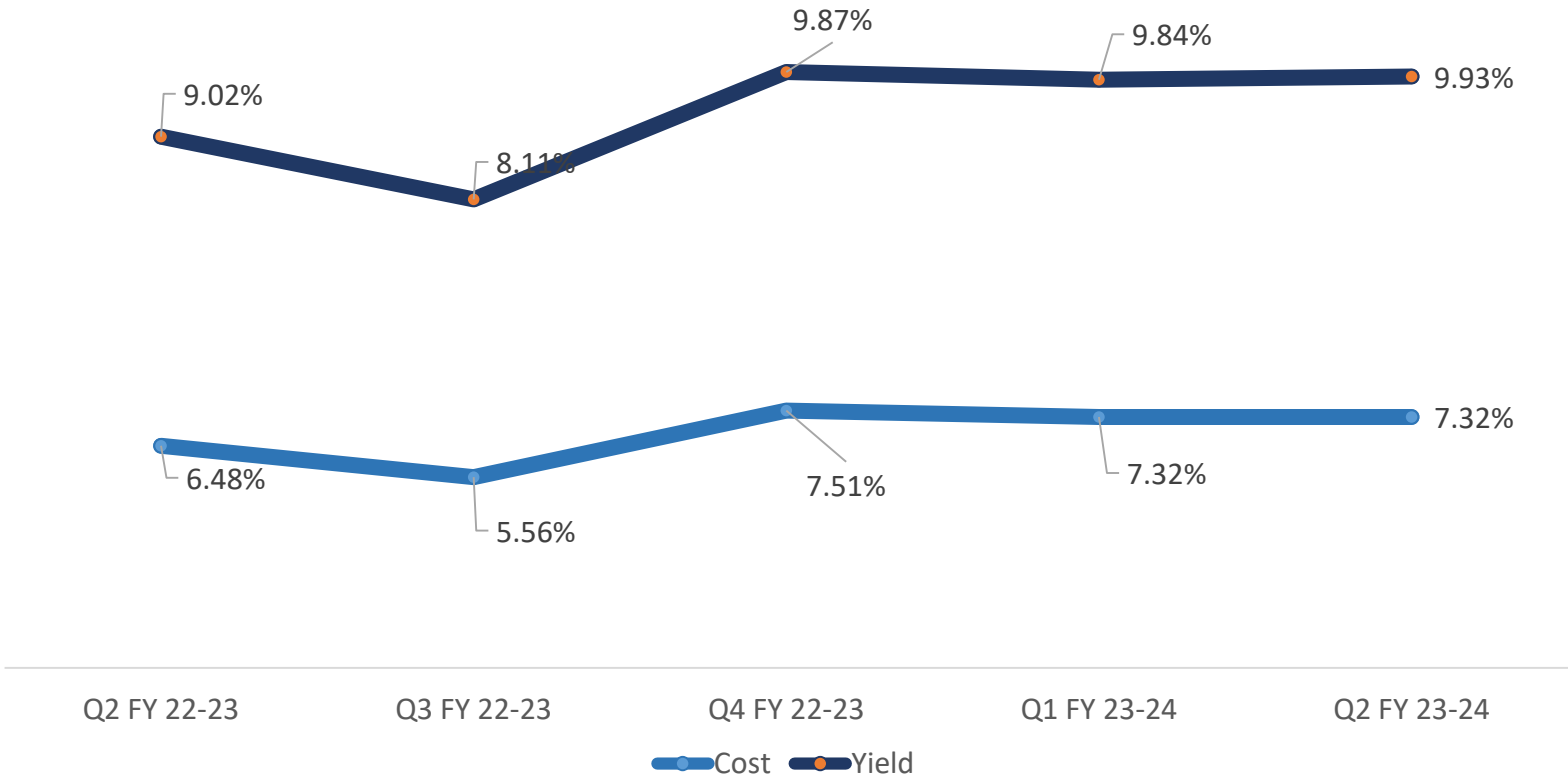
SHAREHOLDING PATTERN



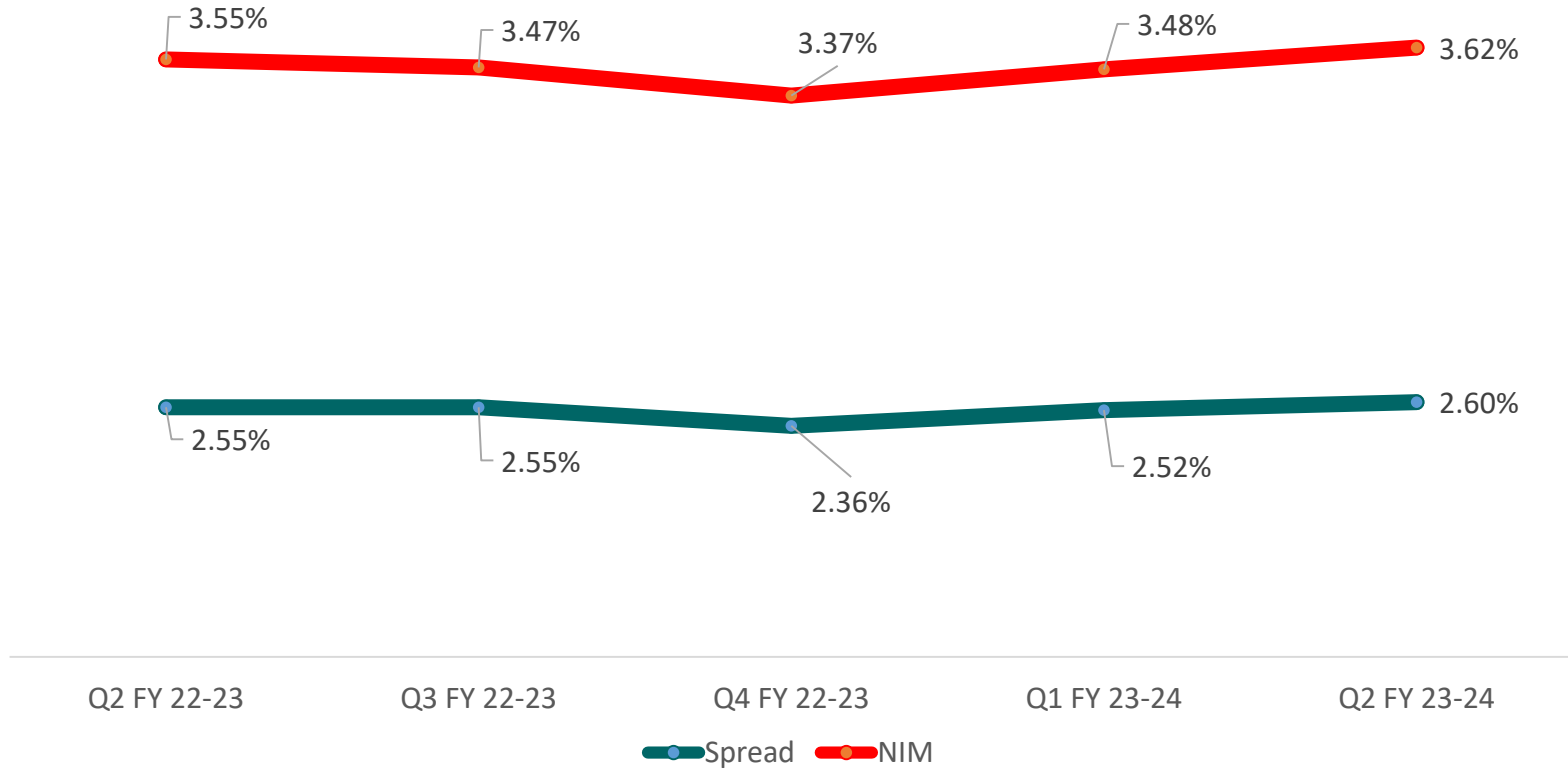
■ Promoter
 ■ Mutual Funds
 ■ Individual
■ Foreign Corporate Bodies
 ■ Bodies Corporate
 ■ Others

SI No.	Category	shareholding as %
1	Promoter	29.99
2	Mutual Funds	26.29
3	Individual	19.44
4	Foreign Corporate Bodies	11.36
5	Bodies Corporate	9.55
6	Others	3.37
7	Grand Total	100.00

Yield and Cost(As at the end of each quarter)



Spread and NIM (As at the end of each quarter)

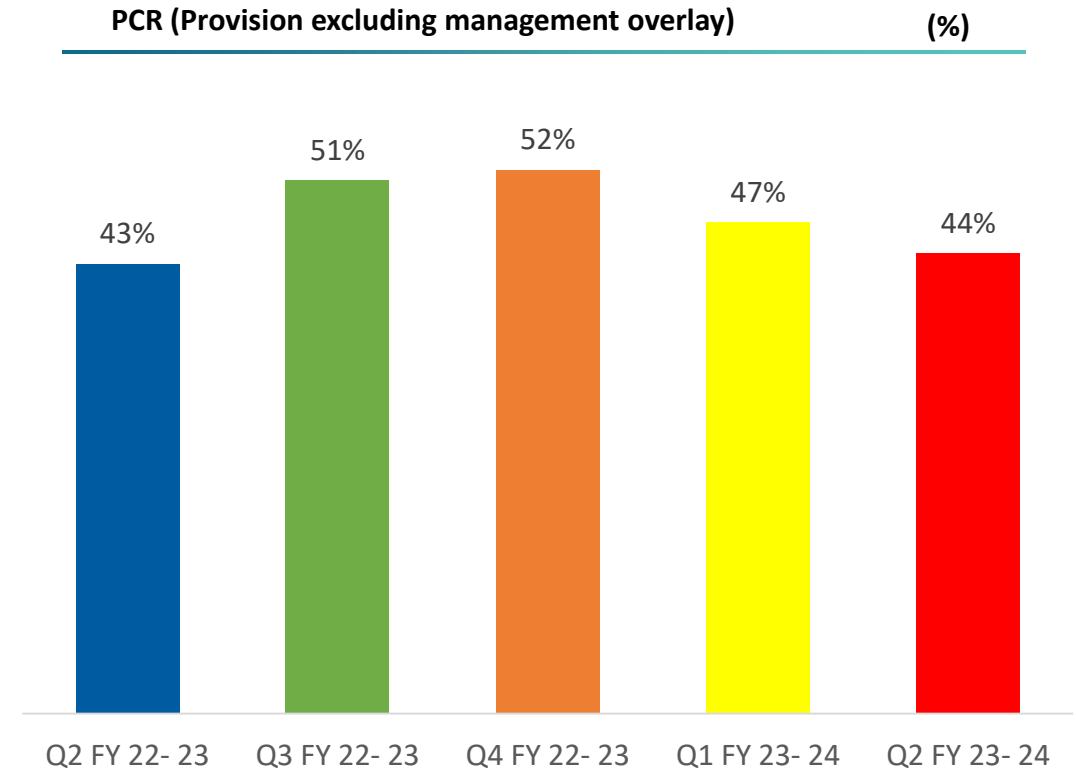
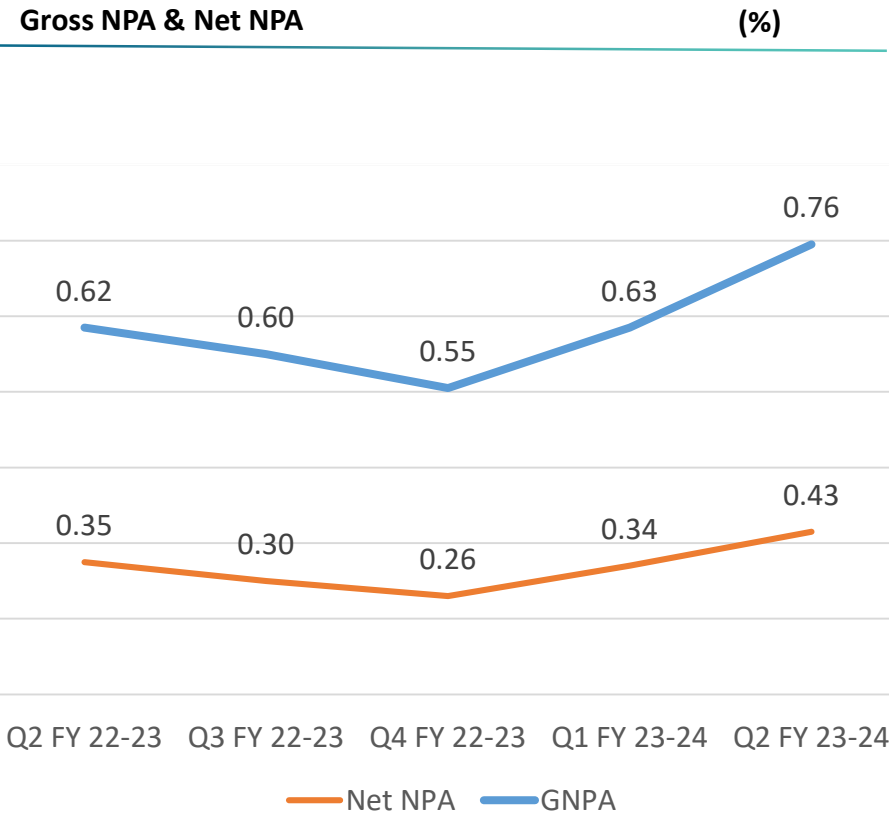


Total Provisions held

Amount Rs. in Crore

Asset Classification	ECL Stages	Balance as on 30 Sep 2023	Provision held as per ECL Model
Standard Asset	1	29884	141.46
SMA 0	1	1367	
SMA 1	2	707	
SMA 2	2	534	
Restructured A/c	2	613	
NPA	3	254	112.00
Total Portfolio		33359	253.46
Undisbursed Loan Commitment		1165	2.91
Total Provision			256.37

NPA and PCR

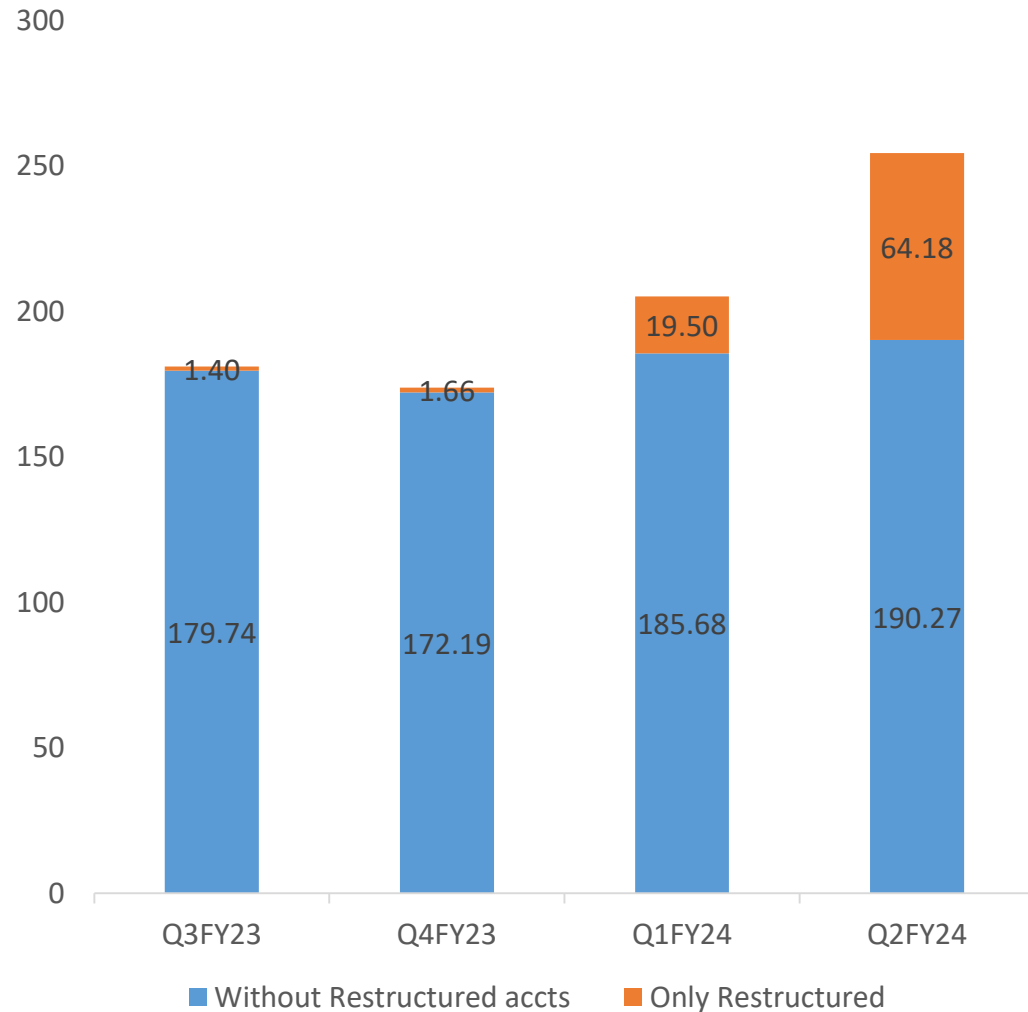


PCR with Management Overlay

Rs. In crore

	FY23	As % of GNPA	H1FY24	As % of GNPA
Gross NPA	174		254	
A. ECL Provision (Stage 3)	91	52%	112	44%
B. Management Overlay	17		34	
Total Provision available (A+B)	108	62%	160	63%
C. Prov for Restructured Pool	68		68	
Total Provision available (A+B+C)	176	101%	214	84%

NPA and Restructured NPA

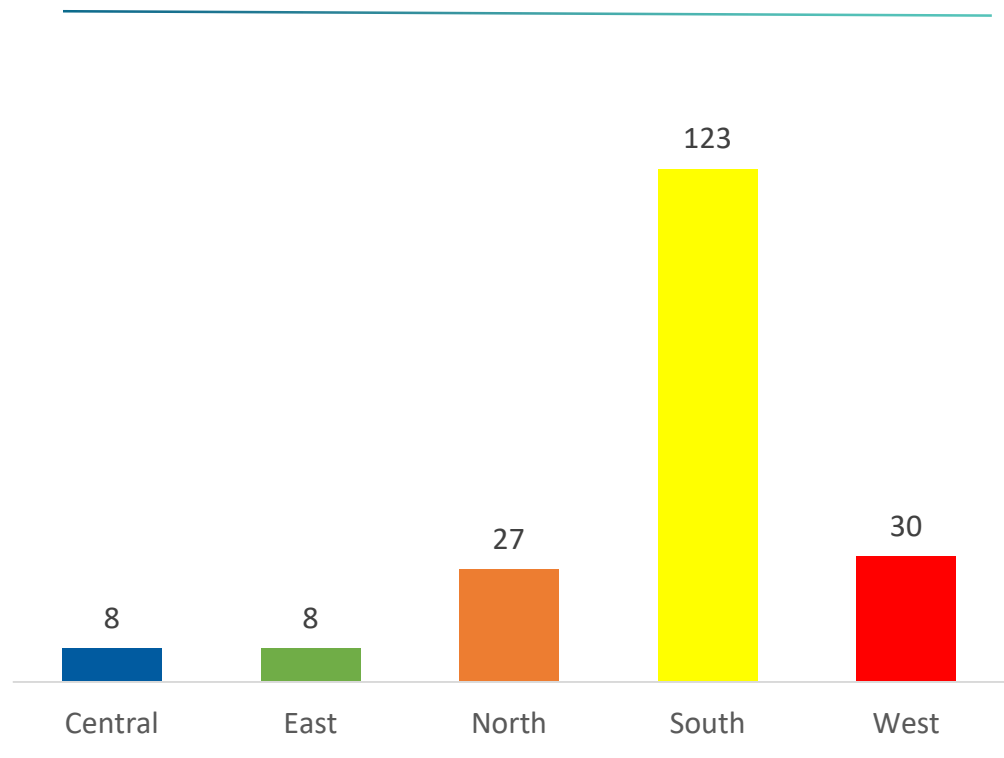


* Amt in Crs

Quarter	NPA Amount		NPA%	
	Without Restructured accts	Only Restructured	Without Restructured accts	Only Restructured
Q3FY23	179.74	1.40	0.60%	0.005%
Q4FY23	172.19	1.66	0.55%	0.005%
Q1FY24	185.68	19.50	0.57%	0.06%
Q2FY24	190.27	64.18	0.57%	0.19%

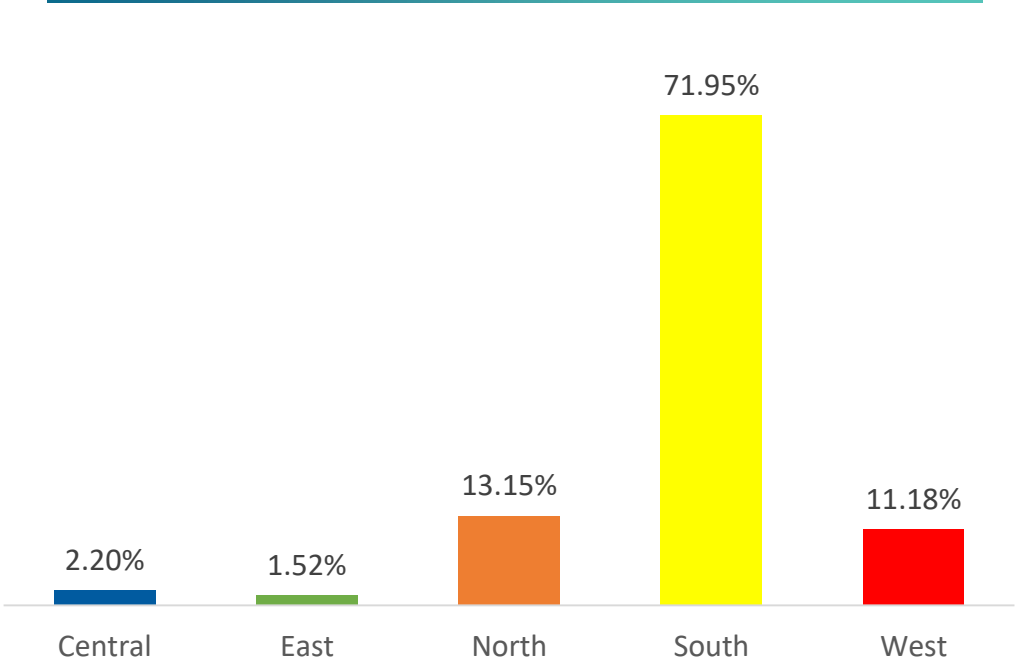
Geographical Wise Distribution

No. of Branches

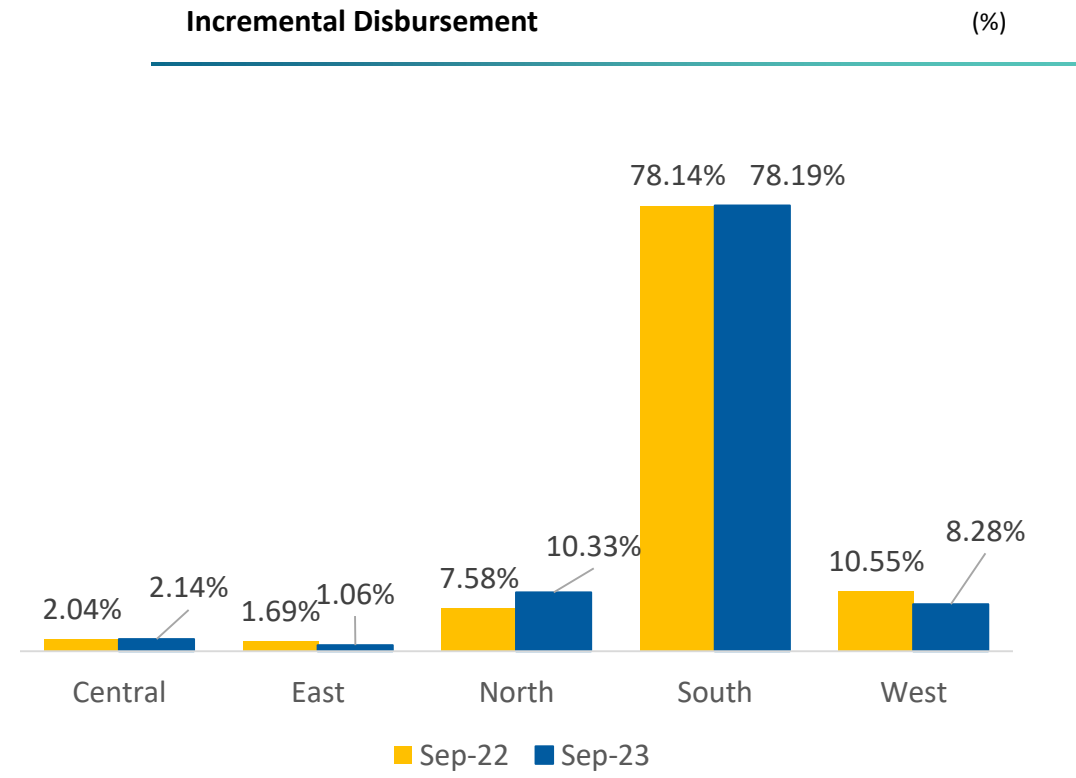
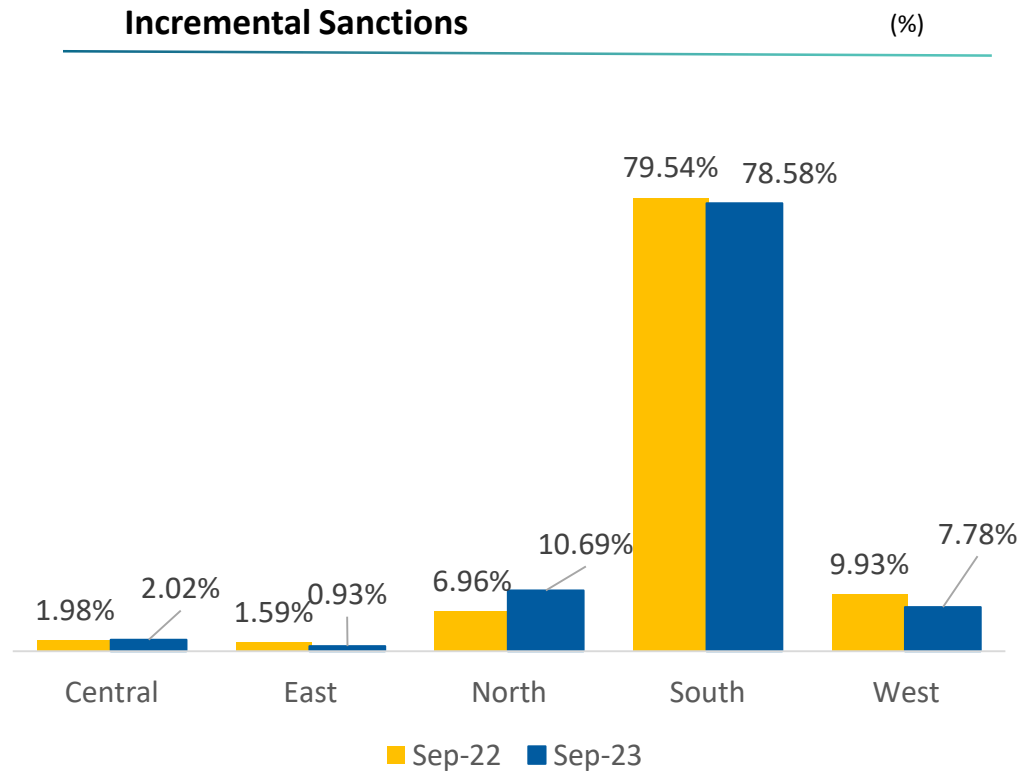


Outstanding

(%)



Geographical Wise Distribution – H1FY24



Action Taken

Centralized Disbursement

Implemented from 03/10/2023

Online Lead sourcing

Pilot project on Online lead sourcing implemented in Sept-23

Centralized Reconciliation

Implemented from 01/08/2023

CRM

All branches covered from 01/10/2023

Litigation Management
Software

Implemented from 22/08/2023

Risk Management

Quarterly Cluster level risk management implemented from
July 2023

Branch Expansion

3 new branches opened in Sept 2023

APF

34 projects approved. 51 member sales team identified
internally for marketing lead by 2 team leads

STRATEGIC INITIATIVES PROPOSED

- ✓ RCSA
- ✓ Fraud control unit will be augmented.
- ✓ Software for outsourced activity (Valuation)
- ✓ Online Reconciliation.

Branch Network

(208 BRANCH OFFICES)

- **Punjab** – Jalandhar
- **Chandigarh**
- **Rajasthan** – Alwar, Jaipur, Mansarovar, Kota, Udaipur, Ajmer, Jodhpur, Jhotwara, Jagatpura, Bhilwara
- **Gujarat** – Ahmedabad, Vadodara, Surat, Rajkot, Jamnagar, Bhavnagar
- **MP** – Bhopal, Gwalior, Indore, Mandideep, Jabalpur, Pithampur, Sagar, Rewa
- **Chhattisgarh** – Raipur, Bilaspur, Bhilai
- **Maharashtra** – Kolhapur, Navi Mumbai, Mumbai, Nagpur, Panvel, Kalyan, Pune, Nashik, Boisar, Chakan, Hinjewadi, Aurangabad, Solapur
- **Karnataka** – Bengaluru (30 branches), Belgaum, Davanagere, Hubli, Mysore, Mangalore, Mandya, Shimoga, Tumkur, Udupi, Hassan, Dharwad, Ballari, Haveri, Hoskote, Kalaburagi,
- **Kerala** – Calicut, Kochi, Thiruvananthapuram, Thrissur, Shoranur, Neyyattinkara
- **Odisha** – Bhubaneshwar, Berhampur, Jharsuguda
- **Bihar** – Patna
- **Tamilnadu** – Hosur, Chennai (9 branches), Madurai, Namakkal, Trichy, Coimbatore, Salem, Erode, Vellore, Thiruchengode, Dindigul, Karur, Virudhunagar, Tirunelveli, CBE-P N Palyam, Tirupur, Kumbakonam, Thoothkudi, Gobichettipalayam, Thirumangalam, Batlagundu, Theni, Thanjavur, Pollachi, Tenkasi, Karikudi, Mayiladuthurai
- **Goa**
- **Pondicherry**
- **West Bengal** – Durgapur
- **Uttar Pradesh** – Lucknow, Meerut, Noida, Greater Noida, Agra, Varanasi, Allahabad, Kanpur, Ghaziabad, Jhansi
- **Uttarakhand** – Dehradun, Haridwar
- **Andhra Pradesh** – Bhimavaram, Kadapa, Nellore, Ongole, Tirupathi, Guntur, Kakinada, Vizag, Vijaywada, Vizag – Steel Plant, Rajahmundry, Kumool, Vizianagaram, Gollapudi, Tenali, Eluru, Mangalagiri, Srikakulam
- **Telangana** – Hyderabad (13 branches), Siddipet, Warangal, Karimnagar, Khammam, Mancheria, Nizamabad
- **Delhi** – Nehru Place, Pitampura
- **Haryana** – Gurgaon (2), Manesar, Sonapat, Faridabad, Dharuhera, Rewari, Karnal, Ambala, Rohtak, Palwal





THANK YOU

The forward looking statements and projections, if any, contained in this presentation are predictions and involve known and unknown risks, uncertainties and other factors including the future changes or developments, the competitive environment, ability to implement the strategies and initiatives, technological changes, political, economic, regulatory and social conditions in India etc. that may cause the actual results, performance and achievements of CFHL to be materially different from any future results, performance or achievements expressed or implied by such forward looking statements or other projections.

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